INDO-JAPAN RELATIONS

A VOYAGE TO BUILD BIG, SUSTAINABLE ECOSYSTEM AND TRADE



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From 1958 to 2011, to the current day, Indo-Japan trade relations have indeed had a long, successful and more aptly, a transformative journey. Great achievements have been made at every milestone, and cultures, processes and values have changed, grown and fructified since the day in 1958 that Japan International Cooperation Agency, more well known as JICA, the eastern nation's bilateral trade and funding institution entered into a partnership with India for its nation-building efforts. Over the decades, several infrastructure projects and railroad activities have been undertaken as funded by JICA.

Cut to 2011, a newer and more invigorating India-Japan trade relation bloomed following the Economic Partnership Agreement signed between the two countries; newer and more modern, cutting-edge, diversified projects were ventured into. Adaptability on both sides reached newer heights, and there was cross-pollination of cultures that strongly bound the two nations into a better and intense economic and trade relations. Today, Japan has emerged as the fifth largest investor in India, with a cumulative foreign direct investment of whopping US$ 38 billion (as per April 2000-September 2022 data).

In these almost seven decades of partnership, storied consumer products have been put in the markets; there have been technologies built together as part of the government of India's Digital India scheme and otherwise; but the most valuable and prominent, perhaps better to say the overarching driver in this India-Japan trade relationship has been the infrastructure push – from building cost-effective railroad infrastructure around the country for advanced mobility, to now handling several metro projects, constructing power transmission and related infrastructure, to bringing in citizen-centric tech-driven public services to every India's doorstep, to revolutionising Indian banking system, to making Indian cities modern in every way. The list is very long – currently there are over 1000 infrastructure projects that are see the light of day through this economic partnership between the two Asian giants, with US$3-4 billion being transacted every year.

One of Japan's key companies, Hitachi, through its managing director Mr Bharat Kaushal, puts it in perspective. "India-Japan trade relations has had a long history. And japan in India has in the past been perceived as slow and expensive in its approach. But the journey has been spectacular. Japan, which is universally accepted worldwide as the most trusted and reliable partner in its products and services, has very beautifully transformed the complexities that India presented in the past to opportunities that it offers the world today, both for doing business in India, for India, and from India for the world."

The fact is that the India-japan trade relations have blossomed due to many factors. One of them being, the huge transformation India itself has undergone as a country. Today, it is one of the fastest growing large economy which has transcended from being a market to strong middle class consumer to high-tech talent producer, to a market that is now seeing the iconic Tesla and Apple shipping their latest offerings to the world from the Indian shores. India, once an implementation and execution of big ideas laggard, is seeing such on ground dynamics which have started even the Indians themselves! The fact that Washington DC's metro project is being executed from India goes on to tell a fascinating story of the country's transformation. And, again, Japan is largely behind many such projects that India is chasing today.

Japan has also adapted to various global cultures of doing business and requirements. India being one of the top markets for economic and trade partnerships, for global service, Japan has embraced a global culture as well. It is also putting innovation and learnings, especially on costs and pricing, as the frontrunners in its experience of working with India.

But challenges still persist in doing business in India. Supply chain costs and price fluctuations, as also transparency in regulations and policies, especially on taxation and fees, when it comes to working with multiple states of India do pose some hurdles in this trade relation. Still, India is a vast and complex nation – a federation of various cultures and the melting pot of the most diversified societies and languages – and thus, can overwhelm the world at times. However, India-Japan relationship demonstrates that there is a great learning at every step which mutually benefits the partners for the betterment of the world.